

63. **Land Improvement Act.** — By the Improvement of Land Act, 1864 (*i*), trustees having a power to lend on *real* securities shall (unless the settlement * provide [*330] the contrary) have power, at their discretion, to invest their trust-money on charges under the Act or mortgages thereof. But as the provisions are apparently prospective, trustees under a settlement dated before 29 July, 1864, when the statute passed, cannot safely assume that the Act applies to their case.

64. **Second mortgages.** — Trustees cannot be advised to make advances upon a *second* mortgage, for they neither get the legal estate nor the title deeds, and they may be placed under serious difficulties by the acts of the first mortgagee. If he bring an action for foreclosure, the trustees forfeit their interest unless they redeem, which they may have no means of doing out of their own estate, and they may experience a difficulty in procuring a person to take a transfer; and if the first mortgage contain a power of sale, the mortgagee may sell the property at a great disadvantage, and the trustees cannot prevent it, unless by redemption, which may not be practicable (*a*). In addition to which it is extremely difficult to guard satisfactorily against the possible event of the mortgagor obtaining an advance upon a third mortgage without disclosing the second, and should this occur the third mortgagee might as a purchaser for value without notice get in the first mortgage, and *tack* his original mortgage to it, and squeeze out the second mortgage; or the first mortgagee or his transferee might by *consolidation* of his mortgage with a mortgage of other property of the same mortgagor, oust the trustees of their security (*b*). [But by the Conveyancing and Law of Property Act, 1881 (*c*), sect. 17, in cases of mortgages made or one of which is made

(*i*) 27 & 28 Vict. c. 114, s. 60.

(*a*) See *Norris v. Wright*, 14 Beav. 308; *Robinson v. Robinson*, 16 Jur. 256; *Drosier v. Brereton*, 15 Beav. 226; *Waring v. Waring*, 3 Ir. Ch. Rep. 337; *Lockhart v. Reilly*, 1 De G. & J. 478.

(*b*) But a third mortgagee holding a security which had no existence at

the date of the second mortgage, and taking with notice of that mortgage, cannot consolidate a first mortgage with his own third mortgage as against the second mortgagee, *Baker v. Gray*, 1 Ch. D. 491; [and see *Jennings v. Jordan*, 6 App. Cas. 698; *Harter v. Colman*, 19 Ch. D. 630.]

[(*c*) 44 & 45 Vict. c. 41.]